Bregaglia Bastion (ATH-124)

Event-Driven & Distressed Corporate Debt Strategy

Track Record: Apr 2020 – Apr 2026 (73 Months / 6.1 Years) | **Benchmark:** S&P 500 Total Return

ATHÉNÉE INVESTMENT

CAPITAL INTRODUCTION & THIRD-PARTY MARKETING

CAGR (Net)	Ann. Volatility	Sharpe Ratio	Max Drawdown	Alpha (Ann.)	Beta & Corr.
25.85%	**11.81%**	**2.02**	**-8.74%**	**20.12%**	**0.19 | +0.26**
S&P 500: 20.14%	S&P 500: 16.24%	SPX: 1.22 | Sortino: 4.50	SPX: -23.87% | Calmar: 2.96	t-stat: 4.08	Beta t-stat: 2.29

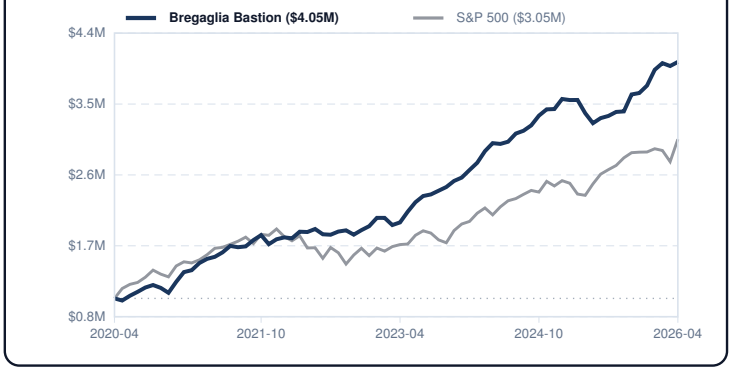
Performance, Risk & Hit Rate Indicators

Indicator	Fund	S&P 500
CAGR (Annualized)	**25.85%**	20.14%
Annualized Mean Return	23.89%	19.78%
Annualized Volatility	11.81%	16.24%
Proxy Sharpe Ratio ($r_f = 0\%$)	**2.02**	1.22
Annualized Sortino Ratio	4.50	2.23
Maximum Drawdown (MDD)	**-8.74%**	-23.87%
Calmar Ratio (CAGR / |MDD|)	2.96	0.84
Cumulative Total Return	305.00%	205.33%
Best / Worst Monthly	+13.11% / -6.45%	+12.82% / -9.21%
Positive Months (Hit Rate)	78.1% (57/73)	67.1% (49/73)
Crisis Hit Rate (Fund > 0 | SPX < 0)	**62.5% (15/24)**	–
Up-Mkt Loss (Fund < 0 | SPX > 0)	14.3% (7/49)	–

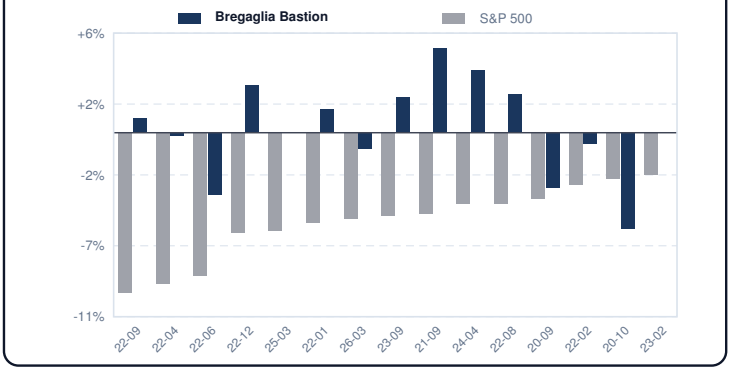
Alpha, Beta, Correlation & Tail Analysis (vs. S&P 500)

Quantitative Metric	Estimate / Diagnostic
Annualized Alpha (α) & t-stat	**20.12% (t=4.08)**
Market Beta (β_{SPX}) & t-stat	0.19 (t=2.29) ($R^2 = 6.9\%$)
Pearson Correlation (r) to S&P 500	**+0.26** (95% Blk CI: [0.06, 0.53])
Spearman Rank Correlation (ρ)	+0.26 (95% Blk CI: [0.05, 0.51])
Upside / Downside Capture Ratio	Up: **0.68** | Down: **-0.03**
Cond. Up-Market (SPX > 0)	$\alpha = 39.8\%,\ \beta = -0.10$
Cond. Down-Market (SPX < 0)	$\alpha = -3.3\%,\ \beta = -0.11$
Tail Corr. (SPX $< Q_1$, Worst 25%)	$r = 0.03,\ \rho = 0.02\ (n = 18)$
Tail Corr. (SPX $< D_1$, Worst 10%)	$r = 0.41,\ \rho = 0.24\ (n = 8)$
Worst 20% SPX Months Avg. Return	Fund: +0.25% vs SPX: -5.15%
Cross-Asset Beta (WTI / BTC)	WTI β: 0.09 | BTC β: 0.04
Ljung-Box Serial Correlation	$p_1 = 0.27,\ p_3 = 0.25$ (Pass)

Cumulative Growth of $1M USD (Fund vs. S&P 500)



Worst 20% S&P 500 Months



Historical Monthly & Yearly Net Return Matrix (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Yearly
2020	-	-	-	-2.7%	6.2%	4.9%	5.1%	2.8%	-3.2%	-5.5%	13.1%	10.4%	**34.0%**
2021	1.8%	6.8%	3.7%	1.8%	3.7%	5.2%	-1.0%	0.6%	4.9%	3.6%	-6.5%	3.7%	**31.6%**
2022	1.4%	-0.6%	4.8%	-0.2%	2.1%	-3.6%	-0.3%	2.2%	0.9%	-3.0%	3.2%	2.7%	**9.6%**
2023	5.5%	0.0%	-4.5%	1.7%	7.0%	5.7%	3.6%	0.9%	2.0%	2.0%	3.2%	1.7%	**32.4%**
2024	3.8%	3.5%	5.4%	3.6%	-0.3%	0.9%	3.5%	1.2%	2.2%	3.9%	2.4%	0.1%	**34.6%**
2025	3.8%	-0.4%	0.0%	-4.8%	-3.8%	2.0%	0.9%	1.5%	0.2%	6.4%	0.5%	2.6%	**8.8%**
2026	5.5%	2.2%	-0.9%	1.3%	-	-	-	-	-	-	-	-	**8.2%**

Fund Terms & Commercial Overview

Vehicle:	Commingled Fund	Return Basis:	Net of Fees	Fee Structure:	2% Mgmt / 20% Perf	Liquidity:	Quarter Liquidity
Lock-Up Period:	No Lockup	Min. Investment:	1M USD	Current AUM:	250M	Domicile:	Cayman Islands

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Risk Disclosures, Legal Notice & Quantitative Appendix

Fund Reference: Bregaglia Bastion (ATH-124) (Apr 2020 - Apr 2026 (73 Months / 6.1 Years))

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Appendix A: Extended Statistical, Bootstrap & Factor Diagnostics

Diagnostic Family	Methodology / Statistical Specification	Empirical Value
Pearson Correlation CI	95% Confidence Interval (IID Bootstrap vs. Moving Block $B = 3$, 1,000 iters)	Std: [0.00, 0.50] | Blk: [0.06, 0.53]
Spearman Rank Corr. CI	95% Confidence Interval (Rank Monotonic Co-Movement, IID vs. Block $B = 3$)	Std: [0.01, 0.47] | Blk: [0.05, 0.51]
Worst-Case Co-Dependence	97.5th Percentile Upper-Bound Block Bootstrap Correlation (PSD Projection)	$\rho_{\text{wc}} = 0.53$
Serial Correlation (Lag 1 & 3)	Ljung-Box Q-Statistic p-values testing for return smoothing / illiquidity bias	$p_1 = 0.27,\ p_3 = 0.25$ (Pass)
Conditional Up-Market OLS	Annualized Alpha & Beta estimated during positive S&P 500 months ($n = 49$)	$\alpha = 39.8\%,\ \beta = -0.10\ (t_\alpha = 3.98)$
Conditional Down-Market OLS	Annualized Alpha & Beta estimated during negative S&P 500 months ($n = 24$)	$\alpha = -3.3\%,\ \beta = -0.11\ (t_\alpha = -0.25)$
Commodity Factor (WTI)	OLS Regression against Front-Month WTI Crude Oil Monthly Returns	$\beta = 0.09\ (t = 3.31),\ \alpha = 20.7\%$
Digital Asset Factor (BTC)	OLS Regression against Bitcoin (BTC-USD) Monthly Returns	$\beta = 0.04\ (t = 1.80),\ \alpha = 21.5\%$

Appendix B: Quantitative Framework & Indicator Definitions

- **CAGR & Annualized Volatility:** Compound Annual Growth Rate is computed geometrically as CAGR $= \left(\prod_{t=1}^{T}(1 + r_t)\right)^{12/T} - 1$. Annualized Volatility is sample standard deviation scaled by $\sqrt{12}$: $\sigma_{\text{ann}} = \hat{\sigma}_m\sqrt{12}$. Proxy Sharpe Ratio assumes $r_f = 0\%$ ($\bar{r}_{\text{ann}}/\sigma_{\text{ann}}$).
- **Maximum Drawdown (MDD) & Calmar Ratio:** Maximum peak-to-trough decline of cumulative compounded wealth $W_t = \prod_{s\le t}(1 + r_s)$, defined as MDD $= \min_t\left((W_t - \max_{s\le t} W_s)/\max_{s\le t} W_s\right)$. Calmar Ratio is CAGR/|MDD|.
- **OLS Alpha (α), Beta (β) & Capture Ratios:** Estimated via Ordinary Least Squares $r_{\text{fund},t} = \alpha_m + \beta r_{\text{SPX},t} + \varepsilon_t$, where $\alpha_{\text{ann}} = 12 \times \alpha_m$. Upside (Downside) Capture measures the ratio of the fund's mean return to the S&P 500's mean return during positive (negative) S&P 500 months.
- **Tail Correlations & Moving Block Bootstrap:** Tail correlations evaluate linear (r) and rank (ρ) co-movement during S&P 500 drawdowns below the 25th percentile (Q_1) and 10th percentile (D_1). Moving Block Bootstrap ($B = 3$ months) preserves local serial dependencies when constructing 95% confidence intervals.

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